

Q.3: "Rent is paid for the original & Indestructible power of soil". Discuss OR
State, explain & criticize the Ricardian theory of Rent. OR
Critically examine the Classical theory of Rent presented by David Ricardo.

===== Ricardian Theory of Rent =====

The Theory of Rent was formulated by David Ricardo around 1809. It was the first clear exposition of the source and magnitude of land rents, and is among the most important and firmly established principles of economics. He believes that rent arises due to the fertility of land, greater the fertility of land, more rent will be paid & vice versa.

===== Rent =====

According to David Ricardo,

"Rent is the portion of the produce of the earth which is paid to the landlord for the use of original and indestructible powers of soil."

Comprehensive definition,

"The rent of a land site is equal to the economic advantage obtained by using the site in its most productive use, relative to the advantage obtained by using marginal land for the same purpose, given the same inputs of labor and capital."

===== Marginal Land =====

It is defined as,

"The land which produces at its minimum and just covers its cost is called as marginal land and rent of all other land areas is determined according to marginal land."

===== Assumptions =====

Ricardian theory of rent is based on the following assumptions:

- **Perfect Competition:** It is assumed that there exists perfect competition among tenants & cost of production remains the same.
- **Prior Knowledge of Fertility:** It is assumed that tenants have prior knowledge of fertility of land & they cultivate the most fertile land areas first.
- **Marginal Land:** The lowest fertile land is categorized with marginal land & other lands are paid rent according to this land.
- **Law of Diminishing Returns:** It is also assumed that the law of diminishing returns applies on the produce of land.

===== Explanation with the help of Schedule =====

Ricardian theory of rent can be explained with the help of the following schedule:

- Suppose Cost per unit of Labour & Capital = 25 tons of output
- Grades of land = A, B, C & D

Units of Labor and Capital	Production of Different Grades of Land (Tons)			
	A	B	C	D
1	40	35	30	25
2	35	30	25	20
3	30	25	20	15
4	25	20	15	10
5	20	15	10	05

The above schedule is constructed keeping in view the different types of land & their fertility is categorized in grades. The A grade land is more fertile in all & then B, C & D respectively. The rent therefore will be paid according to the following calculations:

==== Rent of A Grade Land =====

$$TP = 40 + 35 + 30 + 25 = 130$$

$$TC = 25 \times 4 = 100$$

$$\text{Rent} = 130 - 100$$

$$\text{Rent} = 30$$

==== Rent of B Grade Land =====

$$TP = 35 + 30 + 25 = 90$$

$$TC = 25 \times 3 = 75$$

$$\text{Rent} = 90 - 75$$

$$\text{Rent} = 15$$

==== Rent of C Grade Land =====

$$TP = 30 + 25 = 55$$

$$TC = 25 \times 2 = 50$$

$$\text{Rent} = 55 - 50$$

$$\text{Rent} = 05$$

==== Rent of D Grade Land =====

$$TP = 25$$

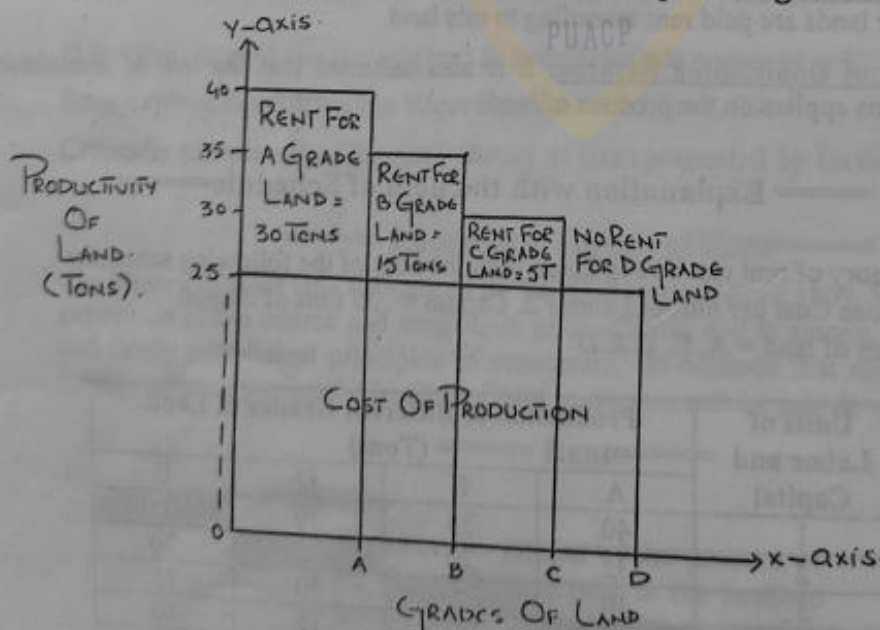
$$TC = 25 \times 1 = 25$$

$$\text{Rent} = 25 - 25$$

$$\text{Rent} = 0$$

D grade land just covers its cost & gives zero rent, so it is called marginal land.

==== Explanation with the help of Diagram =====



of land & their
then B, C & D
calculations:

x-axis: Different types of land according to their quality have been plotted on x-axis.
y-axis: Production, cost & rent have been plotted on y-axis.

==== Explanation =====

The shaded rectangulars show the varying capacities of production of different land areas. Rent will therefore be determined according to the production capacity of each land. Rectangle A is large amongst all showing the high volume of production & therefore high rent paid land, Land B and C are next better rent earning lands respectively. As D land covers its cost only hence paid with zero rent, so it is marginal land.

==== Criticism/Limitations =====

- **Perfect Competition:** It is hardly seen perfect competition in factor & commodity market. Hence, theory is based upon weak assumptions.
- **Prior Knowledge of Fertility:** Farmers do not have prior knowledge of fertility.
- **Scarcity of Land:** Rent is not only paid due to fertility of land but also due to scarcity of land.
- **Modern Techniques:** With the advent of modern techniques in agriculture, the operation of the law of diminishing returns can be postponed for a long period and higher volumes of production can be achieved.
- **Rate of Rent:** The theory does not explain how the rate of rent is determined?
- **Fake Theory:** Modern economists consider this theory a fake theory by arguing that as price of any commodity is determined through demand & supply forces, so rent is also determined through demand & supply forces of land.

==== CONCLUSION =====

The Theory of Rent makes it clear that the landowner has no role in setting land rents. The high producing land will get more rent & vice versa. The theory does not tell the determination of rate of rent & not all land is used for cultivation hence modern theories are presented which describe rent determination with the forces of demand & supply.